sector of the market goes through a period of very strong gains, it is followed by some period of sub-par performance. Nick decided to cut his losses on that fund, so he took all of the money from the biotech mutual fund and another quarter of his CDs out of the bank (since the six-month rate was now below 5 percent). Nick then divided this money between the best two funds for 1992, which happened to be high-yield bonds and a mutual fund that invested primarily in NASDAQ stocks.

The year of 1993 went pretty well, and Nick was feeling good about how savvy he had been with his investment decisions. Both funds earned about 15 percent that year. He had been hearing a lot about investing in Asia, so he decided to put another quarter of his CDs in an Asia fund. He decided not to change his earlier investments for another year.

At the end of 1994, Nick's NASDAQ fund lost 2 percent, his high-yield fund barely moved, and his new Asia fund, that grew 70 percent the year before, had done absolutely nothing since he bought it. He was tired of all the stress his financial investments had caused him. CD rates had been gradually climbing all year, so Nick finally just gave in and transferred all his money back to CDs, locking it in for two years so he could earn more than 6 percent interest.

Of course, the rest is history. The next four years brought an unprecedented string of yearly stock market gains in excess of 20 percent. Nick's NASDAQ fund alone gained over 40 percent the year after he was out. Even the biotech fund he had originally invested in was up over 60 percent in 1995, which would have made up for several years of poor performance.

Because we live in a society where success and accomplishments are in a short time frame, when something isn't going exactly the way we want it to, we feel the need to do something or fix it somehow. Just keep in mind that sometimes the best thing to do is nothing.